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Provision of January 11, 2024

Register of provisions

n. 14 of January 11, 2024

THE GUARANTOR FOR THE PROTECTION OF PERSONAL DATA

IN THE meeting today, attended by

Prof. Pasquale Stanzione, president, Prof.

Ginevra Cerrina Feroni, vice president, Dr.

Agostino Ghiglia and Attorney Guido Scorza, members, and

Secretary General Fabio Mattei;

HAVING REGARD to Regulation (EU) 2016/679 of the European Parliament

and of the Council, of April 27, 2016, concerning

the protection of natural persons with regard to

the processing of personal data, as well as the free

movement of such data and repealing Directive

95/46/EC (General Data Protection Regulation, hereinafter "Regulation");

HAVING REGARD to the Code on the protection of personal data

(legislative decree June 30, 2003, n. 196), as

amended by legislative decree August 10, 2018 n. 101, containing

provisions for the adaptation of the national

legal system to the aforementioned Regulation (hereinafter

"Code");

HAVING SEEN the documentation on file;

HAVING SEEN the observations made by the Secretary

General pursuant to Article 15 of the Guarantor's

Regulation n. 1/2000;

REPORTING Prof. Pasquale Stanzione;

PREMISE

1. THE INSTRUCTIONAL ACTIVITY CARRIED OUT

With a complaint dated November 21, 2022, Mr. XX

complained about the undue publication of his personal data

(name, surname, and educational qualification) and the

lack of response to a request for the exercise of

rights (data deletion). In particular, he stated that he was a former partner

of Build Lenders S.r.l. (hereinafter Build Lenders

or the Company) and that he had transferred his shares,

with the termination of all relations, in September 2021.

However, a year later, Mr. XX's data

was still present in the chamber of commerce registration and on the website

<https://startup.registroimprese.it/> where he was

incorrectly indicated (now erroneously) as a collaborator.

For these reasons, on September 30, 2022, Mr. XX sent

the Company a request for data deletion. Not having received a response and with the

data still present, he filed a complaint with the Guarantor.

On March 10, 2023, the Office sent Build

Lenders, pursuant to Article 157 of the Code, a

request for information and possible compliance

with the complainant's requests, to which there was only a communication stating

the absence of the complaint attached to

the request. The Office replied on March 17, noting that the request was already complete with an attachment, and nevertheless proceeded to resend it. As no further response was received, the initiation of the procedure was adopted under prot. n. 75048 of May 10, 2023 - notified with the assistance of the Special Privacy Unit of the Guardia di Finanza on June 20, 2023 - with which the failure to respond to the Guarantor's request for information was contested. On the same date, the notifying body was also tasked with acquiring the information subject to the request of March 10, 2023. Based on what was reported in the minutes of operations carried out on June 20, 2023, the reporters went to the legal headquarters of Build Lenders but, finding no one present, requested the building's doorman to contact a representative. The reporters were thus put in contact with the secretary of the Company who took charge of contacting the legal representative. After more than an hour had passed since the aforementioned phone call without any follow-up and being unable to reach anyone, the reporters went to the office of the accountant in charge of keeping the accounting records of Build Lenders,

managing to locate, after another phone call, a partner of the firm as well as the wife of the legal representative. The latter, delegating in writing his wife, limited himself to stating that he would proceed to delete the complainant's data from the company registration "at the time of renewal of the innovative start-up requirements ... within 30 days from the date of approval of the financial statements, which will be approved by the end of July."

Finally, on July 19, a communication was received by the Guarantor from the Company's PEC address, lacking a signature, stating that "the PEC email of March 17, 2023 had escaped the attention of the person in charge of control" and it was reiterated that the complainant's data would be deleted within 30 days of the approval of the financial statements.

However, upon verification by the Office on December 21, 2023, such changes had not been made: on the webpage indicated by the complainant, the data and the incorrect qualification of collaborator were still found; moreover, the company profile was updated based on a declaration from the legal representative dated August 28, 2023. The same data were also present in the chamber of commerce registration.

2. THE CONTESTATION OF VIOLATIONS

Based on the information obtained in the files, considering that the failure to respond to the Guarantor had already been contested with an independent procedure initiated with note prot. n. 75048 of May 10, 2023, the Office proceeded to notify Build Lenders of the initiation of the procedure of September 26, 2023 prot. n. 132841/23.

Hereby fully recalling the reasons expressed in the aforementioned act, in addition to the violation of Article 157 of the Code, Build Lenders was contested with the violation of the following articles of the Regulation: Article 5, paragraph 1, letters a) and d); Article 6;

Article 12, paragraph 3; Article 17.

****3. LEGAL ASSESSMENTS****

The facts described are sufficient to consider the processing carried out by Build Lenders as unlawful. In fact, it has processed the claimant's data through online publication, without any legal basis to justify the processing. Mr. XX had not been a partner for over a year, and therefore his data had no reason to be present in the corporate documentation. Moreover, the data still appears online despite the statements made by the Company regarding the deletion timelines. For these reasons, also considering that no justification was provided during the investigation regarding the reasons for the erroneous publication, the violation of Article 5, paragraph 1, letters a) and d), and Article 6 of the Regulation must be deemed confirmed; this is because the publication of outdated data, which the claimant requested to be deleted, is carried out in the absence of a legal basis, qualifying the processing as lacking lawfulness, fairness, and transparency. Furthermore, the Company did not respond to the claimant's request for deletion sent via certified email on September 30, 2022.

Therefore, considering that in this case, the Company also failed to justify its silence and, contrary to what was stated to the Authority, did not proceed to delete the data, the violation of Articles 12, paragraph 3, and 17 of the Regulation is established. Finally, regarding the lack of response to the Authority's request for information, it is noted that, initially, the Company stated that it could not respond because the request lacked a copy of the complaint. The Office promptly replied, pointing out that the complaint was correctly attached but nonetheless proceeded to resend it (although it was already present). Despite this, the Company, which was aware of the initiation of an investigation, did not provide any further response, limiting itself to subsequently stating that the person responsible for checking the mail had not noticed the arrival of the message. The described conduct, which remains without plausible justification, indicates an unjustified lack of response to the Authority's requests and necessitated the assignment of the Special Privacy Unit of the Guardia di Finanza to obtain the information necessary to complete the investigation. For these reasons, the violation of Article 157 of the Code is deemed confirmed.

All of the above considered - given that the Company has never proceeded to delete the claimant's data from the corporate file present on the Business Register portal - pursuant to Article 58, paragraph 2, letters c) and g) of the Regulation, it is necessary to order Build Lenders to promptly delete said data in all locations where their retention and publication are no longer necessary. Furthermore, in light of the unlawfulness of the conduct and the lack of corrective actions, it is believed that the conditions for the application of an administrative monetary sanction pursuant to Article 58, paragraph 2, letter i) of the Regulation are met.

****4. INJUNCTION ORDER FOR THE APPLICATION OF THE ADMINISTRATIVE MONETARY SANCTION****

Based on the above, various provisions of the Regulation and the Code have been violated in relation to connected processing carried out by Build Lenders, for which it is necessary to apply Article 83, paragraph 3, of the Regulation, according to which, if, in relation to the same processing or connected processing, a data controller violates, with intent or negligence, various provisions of the Regulation, the total amount of the administrative monetary sanction does not exceed the amount specified for the most serious violation, with the consequent application of only the sanction provided for in Article 83, paragraph 5, of the Regulation.

For the purposes of quantifying the administrative sanction, the aforementioned Article 83, paragraph 5, sets the maximum penalty at the sum of 20 million euros or, for enterprises, at 4% of the annual global turnover of the previous financial year if higher, specifying the methods for quantifying the aforementioned sanction, which must "in any case [be] effective, proportionate and dissuasive" (Article 83, paragraph 1, of the Regulation), identifying, for this purpose, a series of elements, listed in paragraph 2, to be evaluated when quantifying the relevant amount.

In compliance with this provision, hypothesizing, based on the economic information reported in the balance sheet available in the Business Register, the occurrence of the first hypothesis provided for by the aforementioned Article 83, paragraph 5, and thus quantifying the maximum applicable penalty at 20 million euros, the following aggravating circumstances must be considered:

1. the severity and duration of the violations detected, due to the fact that the claimant is indicated in a public register as a collaborator of the Company despite the termination of the professional relationship, considering that this erroneous information has been present for over two years and has not been corrected even after the intervention of the Authority nor, as promised, at the time of updating the data in the Business Register, which appears to have been carried out with a declaration of August 28, 2023 (Article 83, paragraph 2, letter a), of the Regulation);
2. the severely negligent nature of the conduct considering that the controller acted with disregard both regarding the initial request for deletion received from Mr. XX, to which it never responded nor justified its silence, and regarding the requests made by the Authority to which it did not pay due attention (Article 83, paragraph 2, letter b), of the Regulation);
3. the degree of responsibility of the data controller who, despite the statements made to...

****Guarantee****

1. has not taken steps to delete the unlawfully published data (Article 83, paragraph 2, letter d) of the Regulation);
2. the degree of cooperation with the Authority, considering that the Company did not respond to the first request for information, complaining about the lack of an attachment that was actually present, did not respond subsequently either, and has never provided justifications regarding the failure to delete the data; the conduct during the described visit by the financial officers responsible for notifications also demonstrated a general disregard for the Authority's duties (Article 83, paragraph 2, letter f) of the Regulation);

****As mitigating factors, it is considered:****

1. the absence of previous relevant violations committed by the data controller (Article 83, paragraph 2, letter e) of the Regulation);
2. the nature of the data processed, consisting of common data and, more specifically, only the name, surname, and educational title of the complainant (Article 83, paragraph 2, letter g) of the Regulation);

In an overall perspective of necessary balancing between the rights of the data subjects and the freedom of enterprise, in the initial application of the administrative monetary sanctions provided by the Regulation, it is necessary to prudently evaluate the aforementioned criteria, also in order to limit the economic impact of the sanction.

Therefore, it is believed that - based on the overall elements mentioned above, taking into account the nature of the micro-enterprise of the data controller and the financial data - an administrative sanction of a payment of €10,000.00 (ten thousand) should be applied to Build Lenders, equivalent to 0.05% of the maximum administrative fine of €20 million. The maximum administrative fine is identified with reference to the provisions of Article 83, paragraph 5, of the Regulation, considering that 4% of Build Lenders' turnover is less than €20 million.

It is noted that the conditions of Article 17 of the Guarantee Regulation No. 1/2019 concerning internal procedures with external relevance, aimed at carrying out the tasks and exercising the powers assigned to the Guarantee, are met for the annotation of the violations identified here in the internal register of the Authority, as provided by Article 57, paragraph 1, letter u) of the Regulation.

It is also believed - considering that the failure to delete the data has resulted in the publication of incorrect information in public registers - that, pursuant to Article 166, paragraph 7, of the Code, and Article 16, paragraph 1, of the Guarantee Regulation No. 1/2019, the publication of this provision on the Guarantee's website should proceed as an ancillary sanction.

****ALL OF THE ABOVE CONSIDERED, THE GUARANTEE****

- a) pursuant to Article 57, paragraph 1, letter f) of the Regulation, declares unlawful the processing described in the terms of the motivation carried out by Build Lenders S.r.l., based in Bologna, via Santo Stefano No. 11, tax code No. 03874891207;
- b) pursuant to Article 58, paragraph 2, letters c) and g) of the Regulation, orders Build Lenders to promptly delete the complainant's data from the corporate documentation published in the Business Register and in all locations where their retention and publication are no longer necessary;

****ORDERS****

pursuant to Article 58, paragraph 2, letter i) of the Regulation, Build Lenders S.r.l., represented by its legal representative, to pay the sum of €10,000.00 (ten thousand) as an administrative monetary sanction for the violations indicated in the motivation; it is represented that the offender, pursuant to Article 166, paragraph 8, of the Code, has the option to settle the dispute by payment, within 30 days, of an amount equal to half of the imposed sanction.

****COMMANDS****

the aforementioned Company, in case of failure to settle the dispute pursuant to Article 166, paragraph 8, of the Code, to pay the sum of €10,000.00 (ten thousand), according to the methods indicated in the attachment, within 30 days from the notification of this provision, under penalty of the adoption of subsequent executive acts in accordance with Article 27 of Law No. 689/1981;

****DISPOSES****

a) pursuant to Article 166, paragraph 7, of the Code, the full publication of this provision on the Guarantee's website;

b) pursuant to Article 17 of the Guarantee Regulation No. 1/2019, orders the annotation in the internal register of the Authority, as provided by Article 57, paragraph 1, letter u) of the Regulation, of the violations and the measures adopted.

It is reminded that, in case of non-compliance with this provision, the sanction referred to in Article 83, paragraph 5, letter e) of the Regulation will be applied administratively.

Pursuant to Article 78 of Regulation (EU) 2016/679, as well as Articles 152 of the Code and 10 of Legislative Decree No. 150 of September 1, 2011, an appeal against this provision may be filed with the ordinary judicial authority, with a petition submitted to the ordinary court of the place where the data controller resides, or, alternatively, to the court of the place of residence of the data subject, within thirty days from the date of communication of this provision, or sixty days if the applicant resides abroad.

Rome, January 11, 2024

THE PRESIDENT

Stanzione

THE REPORTER

Stanzione

THE SECRETARY GENERAL

Mattei